CERNO GLOBUS

FIELD INTELLIGENCE

Issue 005 Tuesday, October 13, 2026 · Biweekly, 4 pages

Building & Mechanical

HVAC · Plumbing · Electrical · Solar & Storage · Commercial Refrigeration

Five trades, one publication. Every item is something that moves a number on your P&L, changes what you must do by law, or changes what parts and labor cost you.

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BACKGROUND SIGNAL
The fraud that reads your invoices before it sends one

Read it online
This issue, and every one before it

TRADE

AHRI's August central air conditioner shipments rose 17.2% to 418,323 units, but gas furnaces fell 4.3% and combined air conditioner and heat pump shipments sank 26% from June.

AHRI reported on October 9 that manufacturers shipped 756,739 central air conditioners and air-source heat pumps in August, 11.4% more than August 2025. Air conditioners drove it at 418,323 units, up 17.2%. Heat pumps added 338,416, up 5.0%. Year to date, combined shipments stand at 6,390,257, up 6.2%.

The month was a retreat from the summer peak. Combined shipments were 1,023,571 in June and 916,830 in July, so August is 26% below June. Gas warm air furnaces went the other way from air conditioners: 287,710 in August, down 4.3% from a year earlier, and 2,106,454 year to date, down 5.0%. Oil furnaces rose 27.1% to 3,052 units.

Water heaters are soft. Residential gas storage units shipped 299,710 in August, down 1.9%, and residential electric 368,402, down 1.6%. Commercial gas storage fell 6.9% to 5,511 units and commercial electric fell 3.8% to 11,780.

By size, the 22,000 to 26,900 BTUH band grew 19.2% to 146,440 units and the 33,000 to 38,900 band grew 17.2% to 165,538, the two largest bands in the month. Systems under 16,500 BTUH fell 17.5% to 36,539.

What to do about it: Pull your own August and September installs against last year this week and hold them against AHRI's 11.4% industry gain; if you are below it, the gap is your shop's, not the market's. Furnaces and water heaters are shrinking, so ask your distributor now for fall stocking terms, early-buy credits and return rights in writing before heating-season orders are due. Put the October increases (tekmar on October 16, Nailor and Panasonic on October 19) into any quote that stays open past those dates. If air conditioner demand held at your shop in August, book tune-up and maintenance renewals now rather than in November.

AHRI August 2026 shipment data release · AHRI August 2026 Statistical Release (PDF) · AHRI monthly shipments, 2026 releases

HVAC

TWO ITEMS

REGULATION

California's SB 690, signed September 30 and effective January 1, 2027, ends private website pen-register suits against businesses, including HVAC contractors outside California, but leaves wiretap claims open.

Why it matters: Governor Newsom signed SB 690 on September 30. From January 1, 2027, only the Attorney General can sue over website activity under the pen-register and trap-and-trace section of California's privacy-wiretap law, and the change reaches pending claims filed in the prior two years. Section 631 wiretap claims remain. A suit against Folsom Lake Heating & Air sought $5,000 per website visit, and exposure follows the California visitor, not your address. This week: send any demand letter to your attorney the day it arrives and ask which claims survive before you pay any settlement.

ACHR News: California SB 690 and HVAC contractors

MONEY

Controls and air-distribution makers posted October increases: tekmar averages about 6% on October 16, Nailor 5% and Panasonic 3.7% to 4.0% on October 19, and Robertshaw up to 15% on October 12.

Why it matters: ACHR News listed the increases on October 7. Heat Controller is up to 5% from October 1. Robertshaw's rise is up to 15% on October 12, though most items are unchanged and several fall. Panasonic's items not affected by tariffs are unchanged. Resideo's zoning products carry an unspecified adjustment on October 31. This week: order the controls and dampers for jobs you have already quoted before October 16 (tekmar) and October 19 (Nailor, Panasonic), and put the date of each increase on every open quote.

ACHR News: HVAC Price Increase List, October 2026

PLUMBING

TWO ITEMS

SUPPLY

Watsco announced October 12 that it had completed its purchase of The Granite Group, taking over a wholesale distributor with 82 locations in seven Northeastern states and about $500 million in annual sales.

Why it matters: The Granite Group serves about 11,000 customers from roughly 29,000 products and more than 450 vendors across New Hampshire, Vermont, Maine, Massachusetts, Connecticut, Rhode Island and New York. Watsco did not disclose a price, and the article gives no pricing terms. If you buy from Granite, your exposure is account terms, rebates and vendor lines, not a posted price change. This week: ask your rep in writing whether your price level, credit terms and rebate program carry over, and get a second wholesaler's quote on your 20 most-bought items.

PHCPPros: Watsco Completes Granite Group Acquisition

MONEY

A. O. Smith will credit contractors $150 in tools for each commercial gas tank or tankless water heater bought from October 1 through November 30, while August commercial gas shipments fell 6.9%.

Why it matters: The promotion runs through participating wholesalers while supplies last; the article does not name the wholesalers or the eligibility rules, which sit on the company's promotion page. AHRI reported August commercial gas storage water heater shipments of 5,511, down 6.9% from a year earlier, and 60,181 year to date, up 1.0%. Commercial electric storage fell 3.8% in August. This week: price your next commercial replacement quotes with the $150 credit in hand, and confirm your wholesaler participates before you promise it to a customer.

PHCPPros: A. O. Smith Launches Fall Promotion · AHRI August 2026 Statistical Release (PDF)

ELECTRICAL

TWO ITEMS

REGULATION

Oregon's 2026 Electrical Specialty Code, built on the 2026 National Electrical Code with Oregon amendments, took effect October 1, with state code training still listed as coming soon.

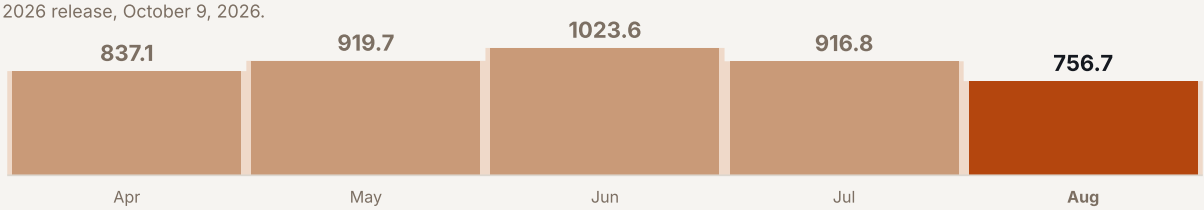
Why it matters: The Building Codes Division lists October 1, 2026 as the effective date and posts a table of Oregon amendments to read alongside the 2026 NEC; the page states no adoption date and offers no integrated codebook. A September 30 order separately adopted the 2026 residential specialty code, with construction provisions mandatory April 1, 2027 after a six-month phase-in, and says low-rise electrical provisions sit in the Electrical Specialty Code. This week: if you pull Oregon permits, download the amendments table and re-price jobs permitted from now on.

Oregon BCD: 2026 Electrical Specialty Code adoption · Oregon BCD: 2026 residential code adoption order (PDF)

INFOGRAPHIC 1 / SHIPMENT SLIDE

Central air conditioner and heat pump shipments peaked in June at 1.02 million units and fell to 757,000 in August.

Combined US central air conditioner and air-source heat pump shipments, thousand units a month, April to August 2026. AHRI August 2026 release, October 9, 2026.

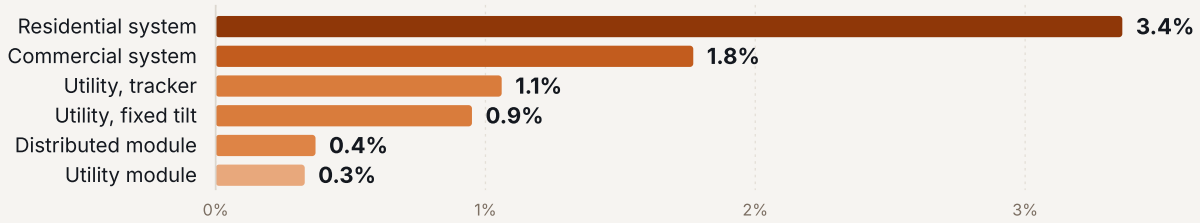


Shipments climbed from 837,098 in April to 1,023,571 in June, then fell to 756,739 in August, 26% below the peak. August is still 11.4% above August 2025. Manufacturer shipments fell as the cooling season ended. Ask your distributor what the slowdown means for fall equipment pricing and stock before you place heating-season orders. AHRI August 2026 Statistical Release (PDF)

INFOGRAPHIC 2 / COST PER WATT

A residential solar system costs more than three times as much per watt as a utility-scale one.

Average installed system price and module price, second quarter 2026, dollars per watt-DC. SEIA and Wood Mackenzie Solar Market Insight Q3 2026, released September 10, 2026.



Residential systems averaged $3.36 per watt, down 1.4% from a year earlier; commercial $1.77, up 5.6%. Distributed modules cost $0.37, down 16%. Modules are now about a tenth of a residential system's price, so installer margin lives in labor, soft costs and financing. Compare your cost per watt with this ladder before you cut a bid. SEIA: Solar Market Insight Report Q3 2026

ELECTRICAL

CONTINUED

MONEY

COMEX copper traded at $6.58 a pound on October 1, $6.63 on October 7 and $6.69 on October 13, near the $6.72 record one tracker lists for May 13.

Why it matters: Wire and cable are priced off copper, so a price parked near its record keeps feeder, branch-circuit and service cable costs high on every bid. The tracker lists $6.72 on May 13 as the all-time high, but its own 24-hour range topped that at $6.74, so treat the record as approximate. October 1 was near a two-week low, attributed to a firm dollar and high oil. These are three quotes, not a trend. This week: put a copper escalation clause or a 15-day price hold on every bid, and buy wire for committed jobs now.

Copper price per pound, October 13, 2026 · Market news: COMEX copper, October 7, 2026 · Market news: COMEX copper, October 1, 2026

SOLAR & STORAGE

TWO ITEMS

REGULATION

Twelve states have passed plug-in balcony solar laws, nine signed including Virginia and Maryland, while UL's certification program is still in committee and the National Electrical Code will not change until 2029.

Why it matters: Stateline reported October 6 that nine states have enacted laws (Utah, Virginia, Colorado, Connecticut, Maine, Maryland, New Hampshire, New Jersey, Vermont) and New York, California and Massachusetts await action. Utah drops the utility-contract requirement up to 1,200 watts. One seller lists a 180-watt panel at $285. Outlets are not built to carry power backward, and backfeeding can bypass circuit protection. For installers it is a low-ticket competitor and a liability trap. This week: write a script for customers asking about kits, and decline to wire one into a panel unless your inspector and utility approve.

Stateline via Fire Engineering: plug-in solar laws

DEMAND

Residential solar installs fell 12% from a year earlier in the second quarter to 995 MW, and SEIA and Wood Mackenzie, in a report released September 10, expect residential installs to end 2026 23% lower.

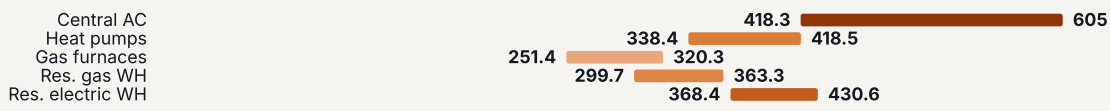
Why it matters: SEIA and Wood Mackenzie's Q3 report, released September 10, put second-quarter solar at 11.4 GW, up 45%, almost all utility-scale at 9.6 GW. Residential systems averaged $3.36 per watt, down 1.4%, and distributed modules cost $0.37 per watt, down 16%. The firms expect residential to return to growth in 2027 and commercial to contract about 7% a year on average across 2026 and 2027. This week: if your pipeline is mostly residential, cut your cost per watt now and book the storage and service work that does not depend on new-system volume.

SEIA: Solar Market Insight Report Q3 2026 · Mercom: US solar installations in Q2 2026

INFOGRAPHIC 3 / FIVE-MONTH RANGE

Four of five product lines hit their April-to-August low in August; only gas furnaces did not.

Lowest and highest monthly US shipments, April to August 2026, thousand units. AHRI monthly releases, latest August 2026 released October 9, 2026.



Air conditioners swung from 605,033 in June to 418,323 in August; heat pumps from 418,538 to 338,416. Residential water heaters also bottomed in August. Gas furnaces were lowest in April at 251,401 and shipped 287,710 in August. Use these lows when you negotiate fall stocking orders. AHRI monthly shipments, 2026 releases

COMMERCIAL REFRIGERATION

TWO ITEMS

REGULATION

EPA published its 2027 HFC allowance notice on October 6, holding production and consumption at 60% of baseline; EPA's records show 1,144,200 of Solstice Advanced Materials' 2027 consumption allowances revoked effective August 7.

Why it matters: The notice, signed October 1, sets production at 229,521,263 and consumption at 181,522,990 metric tons of CO2-equivalent, per Impakter. EPA's consequences page shows the Solstice revocation, effective August 7, plus 286,050 allowances for 2026. A 1,000,000-ton inhaler set-aside takes applications until April 30, 2027. Allowances can be traded but not banked, and the 60% level holds through 2028, so HFC supply does not loosen. This week: ask your refrigerant wholesaler what 2027 supply it has committed in writing, and price a leak repair or retrofit for your oldest systems.

EPA: HFC allowances, 2027 allocation · EPA: administrative consequences, HFC allocation rule · Impakter: EPA 2027 HFC allowances

SUPPLY

Refrigeration parts makers raised prices in early October: Nidec's Embraco compressors and condensing units on October 1, Regal Rexnord motors 2.5% the same day and Aeris linesets an average 12.9% on October 5.

Why it matters: ACHR News's October 7 list shows Nidec's increase varies by item with no percentage published, and Precision Electric Motor Sales also moved October 1 by product. Regal Rexnord's rise covers select motors, parts and accessories. Aeris linesets average 12.9%. Copper traded at $6.69 a pound on October 13. This week: ask your wholesaler for Nidec's new compressor and condensing unit prices item by item, update your flat-rate sheet for linesets and motors, and requote any open refrigeration replacement.

ACHR News: HVAC Price Increase List, October 2026 · Copper price per pound, October 13, 2026

THE BACKGROUND SIGNAL

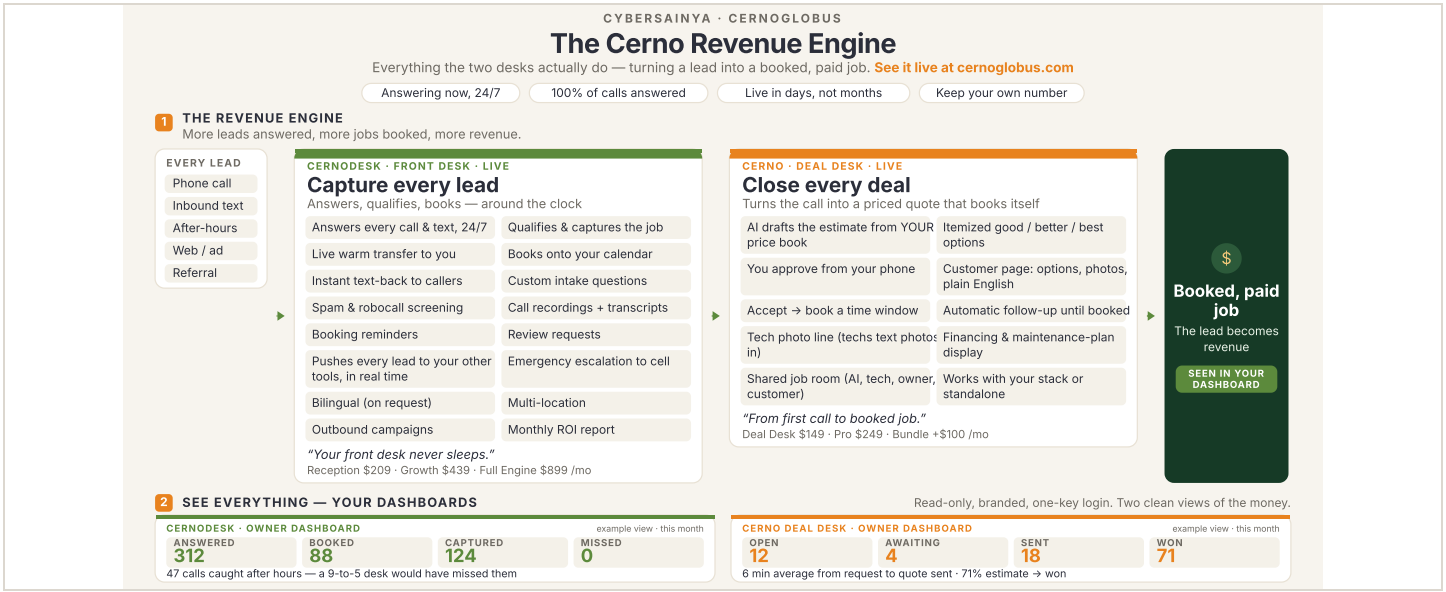
The fraud that reads your invoices before it sends one

The FBI's Internet Crime Complaint Center took 24,768 business email compromise reports in 2025, with losses of $3.05 billion — a record, after dipping to $2.77 billion in 2024 from $2.95 billion in 2023. Across all internet crime it logged 1,008,597 complaints and $20.88 billion in losses. Reported cases only, so read it as a floor.

Business email compromise, not ransomware, is the one that should concern a mechanical contractor. Someone gets into a mailbox, reads until they understand how you invoice and who pays you, then sends a real-looking progress billing with different bank details. No malware, no warning — just a payment that never arrives and an argument about who eats it. A trade that emails quotes, change orders and supplier invoices all day is the shape this is built for. The quieter number is adoption: under 20% of firms with fewer than 20 staff use AI at all.

What to do about it: You don't need a security program. You need multi-factor authentication on email and your accounting login, and one rule everybody follows: nobody changes bank details on the strength of an email or a call — you ring the number you already had on file and confirm. That covers most of it, and costs nothing. The part it doesn't — how the systems are set up — is the day job of our parent company, CyberSainya.

FBI Internet Crime Complaint Center, 2025 Internet Crime Report — reported cases only, rounded from $2,946,830,270, $2,770,151,146 and $3,046,598,558. U.S. Census Bureau, Business Trends and Outlook Survey, May 3, 2026.



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